14. Income Taxes

The provision for income taxes for fiscal years 2016, 2015 and 2014 were as follows (in thousands):

	Fiscal Year		
	2016	2015	2014
Current			
Federal	$ 15,070	$ 8,277	$ 7,630
State	1,350	882	913
Total current	16,420	9,159	8,543
Deferred			
Federal	(987)	3,937	586
State	54	414	(30)
Total deferred	(933)	4,351	556
Total income tax provision	$ 15,487	$ 13,510	$ 9,099

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A reconciliation of income taxes computed by applying the expected federal statutory income tax rates of 35% for fiscal years 2016, 2015 and 2014 to income before income taxes to the total income tax provision reported in the Consolidated Statements of Comprehensive Income is as follows (in thousands):

	Fiscal Year		
	2016	2015	2014
Federal income tax at statutory rate	$ 15,410	$ 13,065	$ 9,732
State income taxes, net of federal benefit	1,427	1,104	849
Tax credits	(941)	(374)	(319)
Domestic production activities deduction	(889)	(561)	(783)
Change in deferred tax rate	(136)	92	(557)
Other	616	184	177
Total income tax provision	$ 15,487	$ 13,510	$ 9,099

Net current deferred tax assets and net long-term deferred tax liabilities were as follows (in thousands):

	April 2, 2016	March 28, 2015
Net current deferred tax assets (liabilities)		
Warranty reserves	$ 5,019	$ 3,714
Salaries and wages	2,501	2,354
Inventory	1,510	1,305
Prepaid expenses	(1,472)	(774)
Deferred revenue	1,206	1,132
Policy acquisition costs	(1,201)	(1,136)
Other	1,435	1,978
	$ 8,998	$ 8,573
Net long-term deferred tax (liabilities) assets		
Goodwill	$ (24,635)	$ (24,714)
Loan discount	7,546	8,519
Property, plant, equipment and depreciation	(4,621)	(4,970)
Stock based compensation	2,784	2,648
Other intangibles	(2,418)	(2,416)
Deferred margin	1,562	1,117
Other	(829)	(771)
	$ (20,611)	$ (20,587)

The effective income tax rate for the current year was positively impacted by the timing of certain tax credits and deductions. As Cavco's taxable income has grown, we have realized additional benefit from tax deductions established to favor domestic manufacturing operations. We also received benefit from tax credits, including the Work Opportunity Tax Credit, the Energy Efficient Home Credit and fuel tax credits.

The Company recorded an insignificant amount of unrecognized tax benefits during fiscal years 2016, 2015 and 2014, and there would be an insignificant effect on the effective tax rate if all unrecognized tax benefits were recognized. The Company classifies interest and penalties related to unrecognized tax benefits in income tax expense. At April 2, 2016, the Company has state net operating loss carryforwards that total $11.3 million, that began to expire in 2015. As a result, the Company recorded a $26,000 valuation allowance against the related deferred tax asset.

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The Company periodically evaluates the deferred tax assets based on the requirements established in ASC 740 which requires the recording of a valuation allowance when it is more likely than not that some portion or all of the deferred tax assets will not be realized. The determination of the need for or amount of any valuation allowance involves significant management judgment and is based upon the evaluation of both positive and negative evidence, including management projections of anticipated taxable income. At April 2, 2016, the Company evaluated forecasted taxable income and determined that, except as described above, all of the deferred tax assets would be utilized in future periods. Ultimate realization of the deferred tax assets depends on our ability to meet these forecasts in future periods.

Income tax returns are filed in the U.S. federal jurisdiction and in several state jurisdictions. The Company is no longer subject to examination by the IRS for years before fiscal year 2013. In general, the Company is no longer subject to state and local income tax examinations by tax authorities for years before fiscal year 2012. The Company believes that its income tax filing positions and deductions will be sustained on audit and does not anticipate any adjustments that will result in a material change to the Company's financial position. The total amount of unrecognized tax benefit related to any particular tax position is not anticipated to change significantly within the next 12 months.

The provision for income taxes generally represents income taxes paid or payable for the current year plus the change in deferred taxes during the year.